

KEY TERMINOLOGY

ECONOMY



MODULE - 9

- Permit License Raj
- Small Scale Industry
- MSME
- Import Substitution

- Import Tariffs
- Import Quotas
- Occupational Structure Of Economy



PERMIT LICENSE RAJ

X WANTED TO
START A BUSINESS



Request for
Approval



सत्यमेव जयते
Fulfillment of
Govt. laid rules

Approval from the Govt.

X CAN START
THE BUSINESS

1

A term used to describe the regulation of the private sector in India between 1947 and the early 1990s

2

In India at that time, one needed the approval of numerous agencies in order to set up a business legally

3

Manufacturing in particular was heavily regulated

4

The Licence Raj was the result of a mixed economy that used a government Planning Commission established after India's independence

KEY TERMINOLOGY IN ECONOMY

PERMIT LICENSE RAJ ... 1950s - 1991

These are the rules and regulations framed by the Government during 1950 onwards **to start, run and operate** an enterprise for production of goods and services in India.

1

INDUSTRIES EXCLUSIVELY OWNED BY THE STATE



2

INDUSTRIES IN WHICH THE PRIVATE SECTOR WOULD SUPPLEMENT

Private sector could supplement the efforts of the State sector



3

CATEGORIES OF INDUSTRIES LEFT TO THE PRIVATE SECTOR

It was maintained through system of licenses

TATA MOTORS



SMALL SCALE INDUSTRY



SMALL SCALE INDUSTRY

- It is the **maximum investment allowed on the assets of a unit.**
- The limit has changed over a period of time. In 1950, a small scale industrial unit was **one, which invested a maximum of Rs. 5 lakh .**
- Small scale industries are considered to be labour intensive.



KEY TERMINOLOGY IN ECONOMY

MICRO SMALL AND MEDIUM ENTERPRISES

CLASSIFICATION OF MSMEs AS PER MSMED ACT, 2006

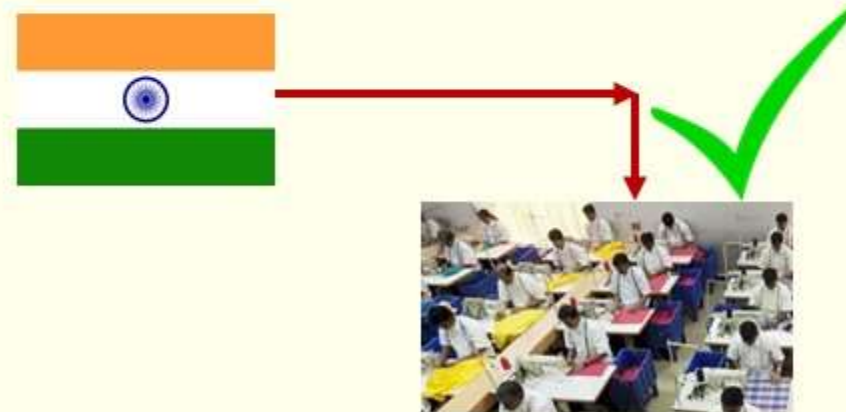
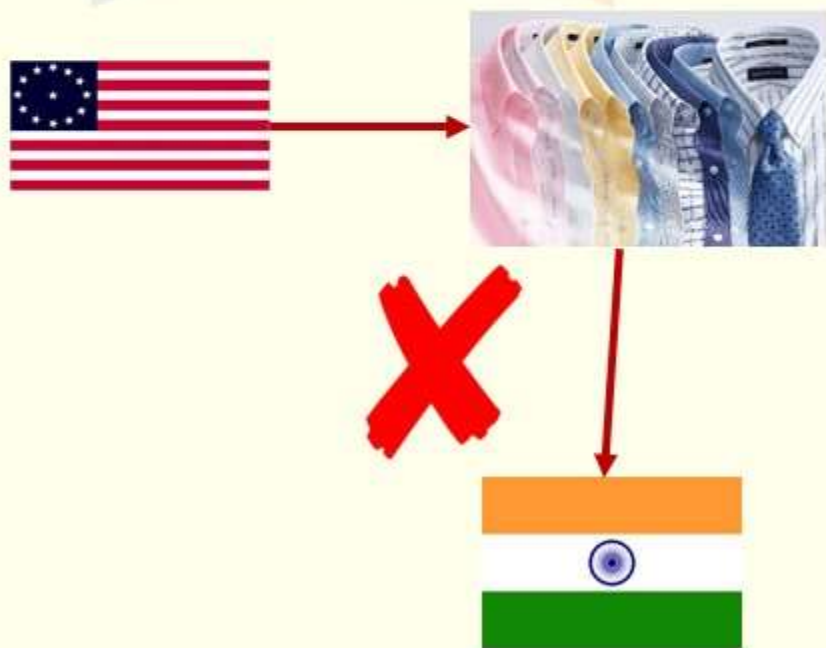
Activity of enterprise	Manufacture / Production of goods	Rendering of services
Type of investment	Plant and machinery	Equipment
Micro enterprise	Up to Rs. 25 lakhs	Up to Rs. 10 lakhs
Small enterprise	More than Rs. 25 Lakhs and up to Rs. 5 crores	More than Rs. 10 lakhs and up to Rs. 2 crores
Medium enterprise	More than Rs. 5 crores and up to Rs. 10 crores	More than Rs. 2 crores and up to Rs. 5 crores

- ✓ **The above cost excludes the cost of land and buildings.**
- ✓ **Micro, Small and Medium Enterprises come under priority sector lending.**

IMPORT SUBSTITUTION

Here domestic production will be increased to substitute import of goods.

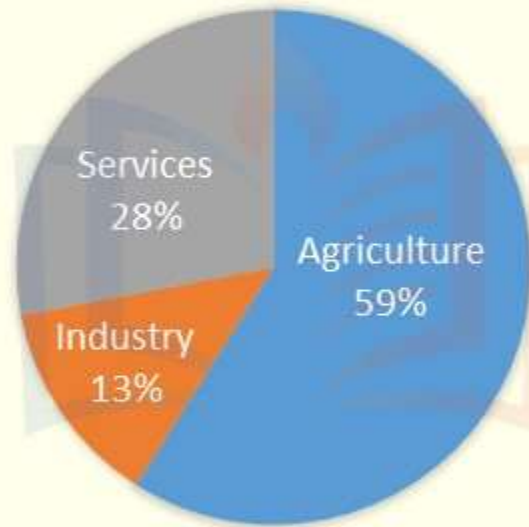
- They will be done through **import controls, tariffs and other restrictions.**
- It is with a view to increase self-sufficiency.



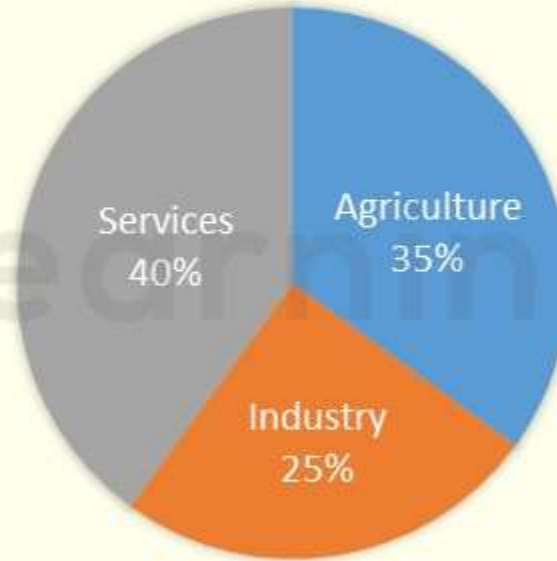


KEY TERMINOLOGY IN ECONOMY

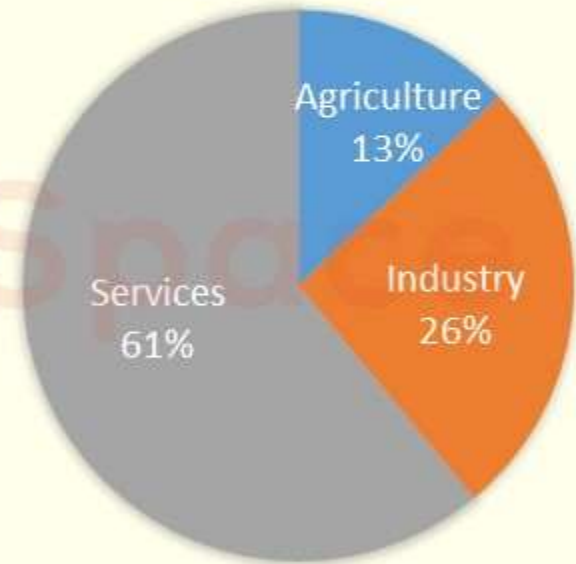
SECTORS OF THE ECONOMY - COMPOSITION AS PERCENTAGE TO GDP



1950-51



1990-91

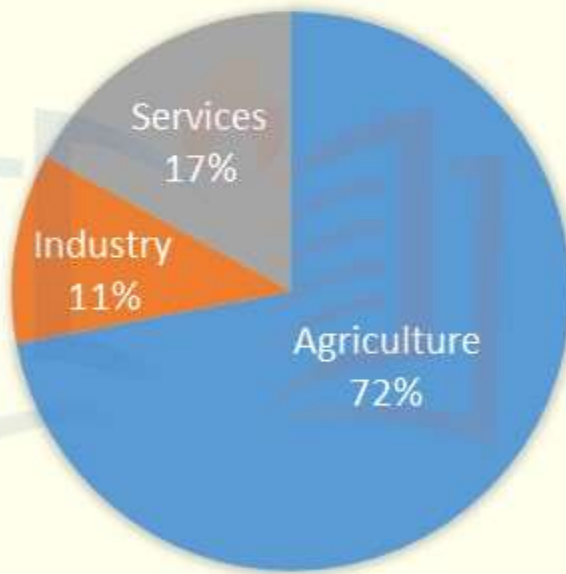


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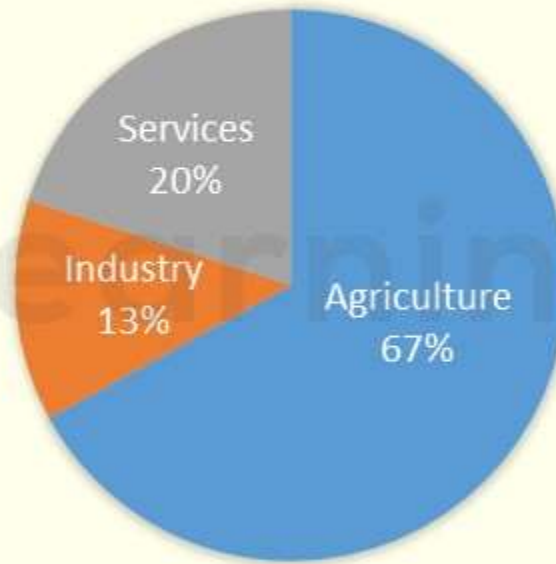


KEY TERMINOLOGY IN ECONOMY

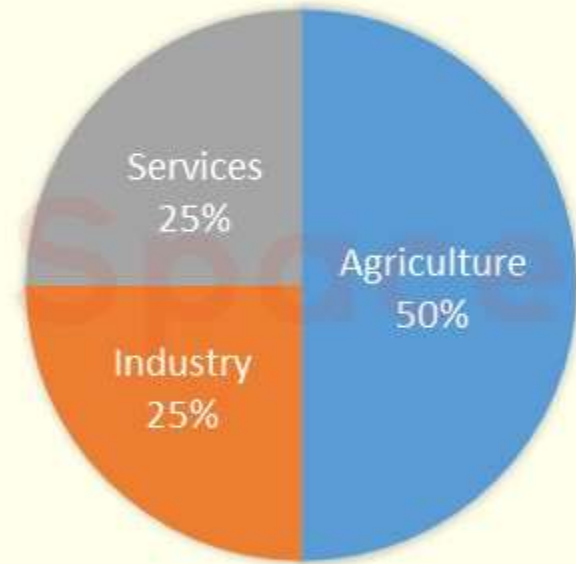
OCCUPATIONAL STRUCTURE OF INDIAN ECONOMY



1950-51

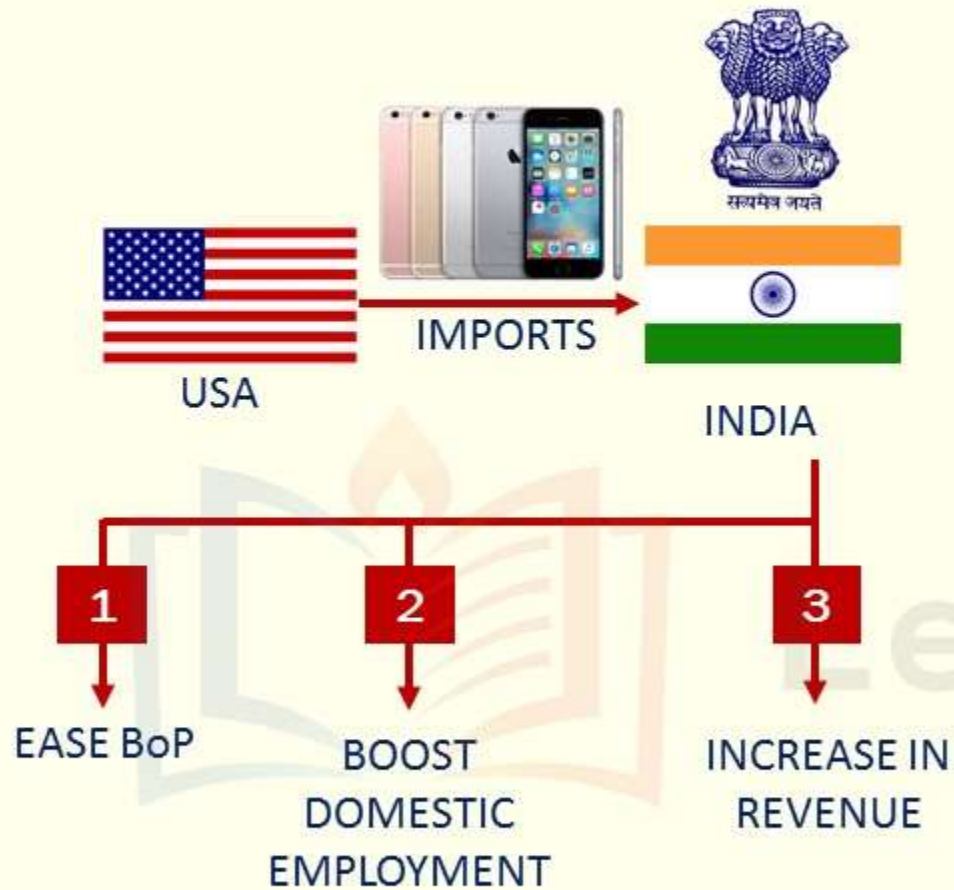


1990-91



2014-15

TARIFF BARRIERS



1

Tax on imports, which can be levied either per tonne or on value. They are occasionally imposed on exports also.

2

This can be for various reasons such as:

- To raise government's revenue
- To protect domestic industry from subsidised or low wage imports
- To boost domestic employment
- To ease deficit on the Balance of Payments (BoP)

3

They increase the price of the imported commodity to the consumers.



KEY TERMINOLOGY IN ECONOMY

TARIFF BARRIERS

IMPORT TARIFFS



Ferrari



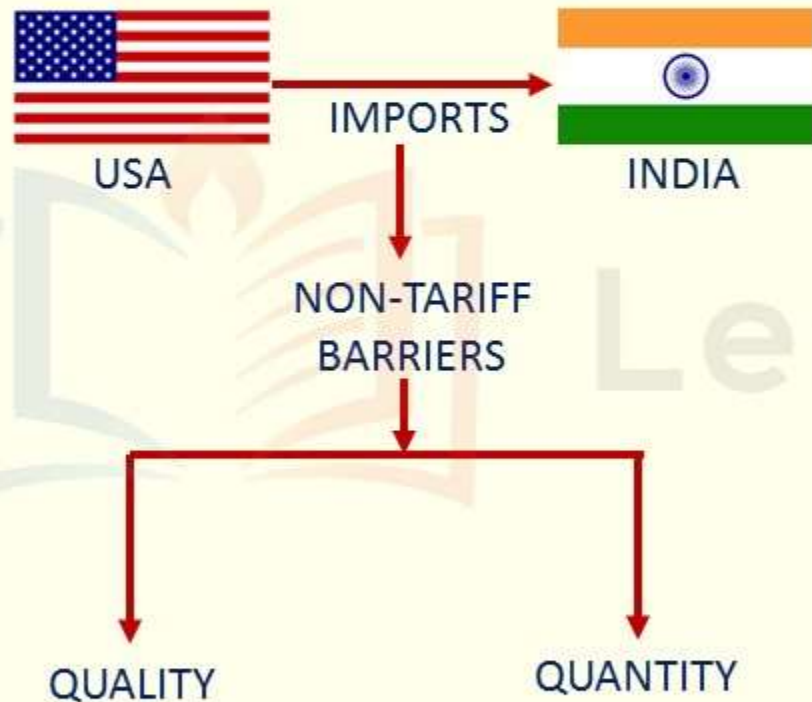
BMW

IMPORT TARIFFS

- Tariffs are taxes on imported goods.
- They make imported goods more expensive and discourage their use.



NON-TARIFF BARRIERS



1

These are the restrictions imposed on imports / exports by a Government in the form other than taxes.

2

They can be in the form of:

- Restrictions on quantity
- Restrictions on quality



KEY TERMINOLOGY IN ECONOMY

NON-TARIFF BARRIERS



WORLD TRADE
ORGANIZATION



- 1 These are restrictions other than taxes
- 2 Restrict imports or exports of goods or services through mechanisms other than the simple imposition of tariffs
- 3 To provide protection to its domestic industries
- 4 They may take the form of import quotas, subsidies, customs delays, technical barriers, or other systems preventing or impeding trade
- 4 non-tariff barriers to trade include import licensing, rules for valuation of goods at customs, pre-shipment inspections, rules of origin



KEY TERMINOLOGY IN ECONOMY

NON-TARIFF BARRIERS

IMPORT QUOTAS



IMPORT QUOTAS

- Import quotas are one **category** of non-tariff barriers.
- They specify the **quantity of goods**, which can be imported.
- This is basically with a view to restrict imports and hence to **protect the domestic firms** from foreign competition.

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